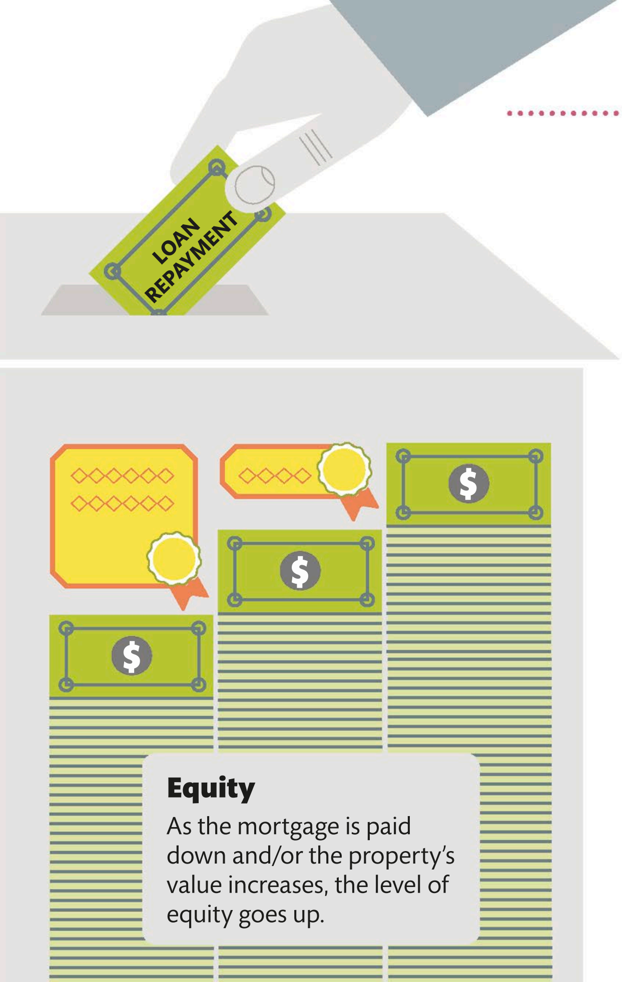
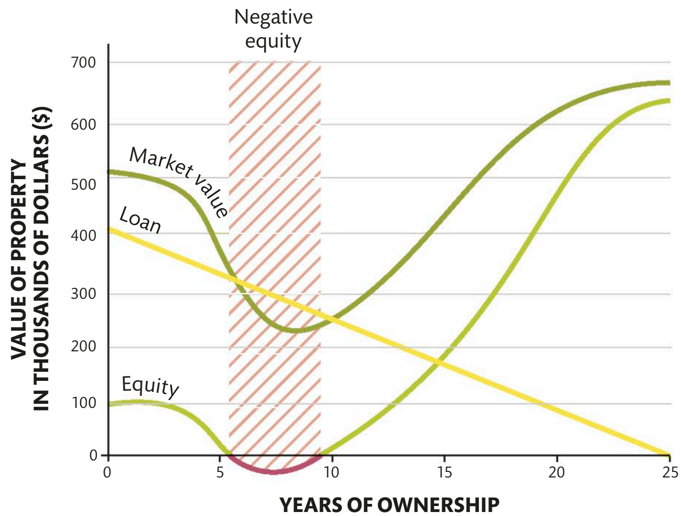


Equity
As the mortgage is paid down and/or the property's value increases, the level of equity goes up.

LOANS, VALUE, AND EQUITY

Equity fluctuates depending on the market value of a property and the amount of any mortgage held against it. If a house is bought for $500,000, with a loan of $400,000, the equity in it is $100,000. If after five years, the loan has been paid down to $300,000, but the value falls below $300,000, then the house is in negative equity as the loan is greater than the market value.



Negative equity

If the value of a property falls, generally as the result of a real estate slump, to the point where it is lower than the amount of loan owed on it, then the property is said to be in negative equity, or "under water."